



Final Remedy

PRC-3-BEI

- Q.1 Which of the following is NOT an advantage of partnership business?
- A. Combined skills and resources B. Shared risk
C. Easy formation D. **Unlimited liability of partners**
- Q.2 Which of the following is correct?
- A. **An international company locating some operations in a different country means that its strategic decisions will be influenced by that country's legislation.**
B. Companies Act 2017 was formed only to maximize profit of private companies.
C. Legislation has no impact on strategic decisions of international firms.
D. International firms follow only home-country laws even when operating abroad.
- Q.3 The supply curve would shift to the left when:
- A. Price of goods goes down B. Taxes of government go down
C. **Taxes of government goes up** D. Prices of complements go down
- Q.4 In a tall-narrow organization, the manager has:
- A. **Few subordinates** B. Many subordinates
C. No authority to make decisions D. Complete decentralization of authority
- Q.5 Which of the following best describes Keynesian Liquidity trap?
- A. High interest rates, low savings rates B. **Low interest rates, high savings rates** people start to hold cash
C. High interest rates, high savings rates D. Low interest rates, low savings rates
- Q.6 The imposition of indirect taxes would likely result in:
- A. Demand-pull inflation B. **Cost-push inflation**
C. Wage spiral inflation D. Deflation
- Q.7 When the national income is in equilibrium, an increase in investment causes the equilibrium to change. Which change of equivalent value would bring national income to its original equilibrium level?
- A. **Decrease in government spending** B. Increase in government spending
C. Decrease in government taxes D. Increase in exports
- Q.8 A central bank is likely to increase interest rates when economy is in a phase of:
- A. **Boom/Prosperity** B. Downturn
C. Recession D. Trough
- Q.9 Which of the following is NOT an element of an information system?
- A. Data B. DBMS
C. **Expert system** D. Networks
- Q.10 The expectation of fall in prices would result in:
- A. **Shift of current consumption curve to the left**
B. Shift of current consumption curve to the right
C. No change on current consumption curve
D. Shift of current savings curve to the left
- Q.11 A firm is operating in an industry where many firms are producing similar products. Each firm is able to set prices of its products without affecting the marketplace as a whole. The firm is most likely operating in:
- A. Monopoly B. Oligopoly
C. Perfect competition D. **Monopolistic competition**
- Q.12 An organization has three divisions. The divisional managers report directly to the CEO. All divisional managers have many subordinates reporting to them. This organization structure is:
- A. Tall-flat B. **Wide-flat**
C. Tall-narrow D. Wide-narrow
- Q.13 The basic concept which underlies the accelerator theory of investment is:
- A. Investment depends on the level of savings
B. Investment is inversely related to the rate of interest
C. Investment is determined by the volume of commercial bank lending

- D. Investment in an economy is a function of output**
- Q.14** The information system used at operational levels by management is:
- A. Executive Information System (EIS) B. Decision Support System (DSS)
C. Transaction Processing System (TPS) D. Strategic Information System (SIS)
- Q.15** Which of the following policies help in increasing economic growth?
- A. Increase in taxes **B. Increase in government spending**
 C. Reduction in subsidies D. Wage freezes
- Q.16** Which of the following is NOT regarded as a money market instrument?
- A. Commercial papers B. Certificate of deposits
 C. Treasury bills **D. Bonds**
- Q.17** Which of the following policy combination is likely to solve a deficit on the current account of the balance of payment in an economy with a floating exchange rate?
- A. Decrease interest rates and increase income tax rates
 B. Increase interest rates and decrease income tax rates
 C. Decrease interest rates and decrease income tax rates
D. Increase interest rates and increase income tax rates
- Q.18** Which of the following is a characteristic of a tall and narrow organizational structure?
- A. Many subordinates under one manager **B. Few subordinates under one manager**
 C. No decision making at lower levels D. Decisions can be discretionary at all levels
- Q.19** Which of the following is a characteristic of a perfectly competitive firm?
- A. The firm is a price maker
 B. The firm faces a downward sloping demand curve
C. The firm is a price taker and faces perfectly elastic demand *it is wide span of control*
 D. The firm restricts output to raise price *it is a monopoly*
- Q.20** Which one of the following statements is NOT true for a planned economic system?
- A. Productive resources are state owned **B. Auto-adjusted price mechanism**
 C. Full employment is possible D. Less duplication of resources
- Q.21** A movie theatre may be regarded as an example of:
- A. Public goods B. Private goods
 C. Demerit goods **D. Club goods**
- Q.22** Which one of the following assumptions does NOT confer to the law of demand?
- A. There is no change in the income of consumers B. There is no substitute for the good
C. The prices of related goods are unstable D. The size of population is stable
- Q.23** Which one of the following assumptions is related to the law of variable proportion?
- A. Continuous improvement in techniques of production
 B. All factors of production are proportionately varied
 C. There is no scarcity of the factors of production
D. The factors are able to be combined to make a product
- Q.24** Which one of the following is NOT a feature of perfect competition?
- A. Firms are price makers** B. Perfect factor mobility
 C. Free entry and exit of firms in the market D. Products are homogenous
- Q.25** Marketing is concerned with _____, while sales is concerned with _____.
- A. Production; distribution
B. Identifying and satisfying customer needs; selling products/services
 C. Record keeping; auditing
 D. Hiring employees; training staff
- Q.26** Which one of the following statements is NOT true?
- A. High interest rates make it less expensive to borrow**

- B. Low interest rates discourage saving
C. High interest rates would result in lower disposable income
D. Low interest rates encourage consumption
- Q.27** An expansionary fiscal policy combined with a restrictive monetary policy would result in:
A. budget deficit to decrease B. taxes to increase
C. government expenditure to decrease **D. interest rates to increase**
- Q.28** Which one of the following is NOT an outcome of the central bank's expansionary monetary policy?
A. Increase of money supply in the economy B. Decrease in market rate of interest
C. Increase in exchange rate D. Increase in aggregate demand
- Q.29** Which one of the following is NOT part of the country's current account?
A. Export of goods **B. Foreign direct investment flows**
C. Unilateral transfers to other countries D. Imports of services
- Q.30** Which one of the following is NOT a cause of cost push inflation?
A. Increase in the price of raw material **B. Fall in interest rates**
C. Increase in firm's profit margins D. Exchange rate depreciation
- Q.31** A person buys milk, magazine, butter and bread. These consumer goods are:
A. Shopping products B. Industrial products
C. Convenience products imp products that are to be bough in daily routine D. Specialty products
- Q.32** What is the primary step in the recruitment and selection process?
A. Interview
B. Shortlisting of candidates
C. Job analysis / identifying the type and requirements of the job
D. Final selection and appointment
- Q.33** Under which of the following circumstances, the value of the multiplier would be higher?
A. When both marginal propensity to consume and marginal propensity to import are low
B. When marginal propensity to consume is low and marginal propensity to import is high
C. When marginal propensity to consume is high and marginal propensity to import is low
D. When both marginal propensity to consume and marginal propensity to import are high
- Q.34** Alpha sells goods across Asia and has no physical office. This is an example of:
A. Physical market B. Complex market
C. Virtual market D. Local market
- Q.35** The slope of a production possibility frontier is called:
A. Marginal rate of substitution B. Marginal utility of product
C. Marginal rate of transformation D. Marginal product
- Q.36** To maximize profit the firm should:
A. Reduce price and increase output B. Reduce price and reduce output
C. Increase price and increase output **D. Increase price and reduce output**
- Q.37** Which of the following will cause the supply curve to shift left (decrease in supply)?
A. Decrease in the price of complements in production B. Decrease in cost of production
C. Decrease in the price of substitutes in production **D. Increase in cost of production**
- Q.38** A price floor set above the market equilibrium price is likely to cause:
A. Excess supply B. Excess demand
C. Decrease in price and quantity traded D. Increase in price and quantity traded
- Q.39** If cross elasticity of demand between Goods X and Y is negative then:
A. The demand for both X and Y are price inelastic
B. X and Y are complements price of one goes up demand of other goes down
C. X and Y are substitutes

- D. The demand for both X and Y are price elastic
- Q.40** Which of the following factors is NOT used in the multiplier formula?
- A. Marginal propensity to save B. Marginal propensity to import
- C. Marginal propensity to tax **D. Marginal propensity to export**
- Q.41** Crowding out is a result of:
- A. High government expenditure** B. Low government expenditure
- C. High taxes D. None of these
- Q.42** Which of the following is NOT part of a country's Gross Domestic Product?
- A. Company profit **B. Net income from abroad**
- C. Salaries of Teachers D. Investment expenditure
- Q.43** Which of the following measures is likely to boost a country's rate of economic growth?
- A. Tax cuts** B. Reduction in tax rebates
- C. Reduction in subsidies D. Decrease in government spending
- Q.44** Which one of the following is most likely to lead to a rise in aggregate demand?
- A. Decrease in government expenditure **B. Decrease in income tax rate**
- C. Increase in autonomous savings D. Increase in rate of interest
- Q.45** If an excess demand for money exists in the economy, then as the money market moves towards equilibrium, the short-term interest rates are expected to:
- A. fall as treasury bill prices rise B. fall as treasury bill prices fall
- C. rise as treasury bill prices rise **D. rise as treasury bill prices fall**
- Q.46** Which of the following are NOT advantages of partnership? (Select two)
- A. Easy formation **B. Dissolution (lack of continuity)**
- C. Unlimited liability of partners** D. Limited capital compared to companies
- Q.47** Which of the following is NOT a motive for holding money?
- A. Inflationary motive** B. Precautionary motive
- C. Transaction motive D. Speculative motive
- Q.48** What is the reason for increase in opportunity cost?
- A. Some resources are not compatible** B. All resources are perfectly compatible
- C. Technology improves significantly over time D. Resources become fully unemployed
- Q.49** Which of the following financial markets usually acts as an intermediary between those looking to raise finance, and those looking to invest?
- A. Capital market** B. Derivation market
- C. Money market D. Both (a) and (b)
- Q.50** Which of the following features is more related to free market economy as compared to planned economy?
- A. An incentive to innovate** B. An even distribution of wealth
- C. Full employment of labour D. Production of goods for the benefit of the society as a whole
- Q.51** Micro-economics does NOT cover:
- A. Consumer behaviour B. factor pricing
- C. General price level** D. product pricing
- Q.52** Which of the following statements is NOT correct?
- A. The different combinations of goods can be shown in the form of a budget line
- B. To work out where to draw the budget line it is necessary to divide the price of each good with consumer's total income**
- C. Any point to the left of the budget line is affordable
- D. The slope of budget line is representative of the relative price between the two goods
- Q.53** Under perfect competition, the supply curve of a firm is equal to:
- A. MR Curve B. AR curve
- C. MC curve above AVC** D. AC curve

- Q.54** Which of the following are disadvantages of sole proprietorship? (Select two)
- A. **Less skills (limited managerial expertise)** B. More skills
C. Limited liabilities D. **Unlimited liabilities**
- Q.55** In a business cycle, the stage which eventually leads the economy to the state of inflation is:
- A. **Boom** B. Downturn
C. Recession D. Trough
- Q.56** Factoring is a financing arrangement in which a business:
- a) Insures its inventory against loss
b) **Sells its receivables (book debts) to a factor for immediate cash**
c) Converts fixed assets into cash by sale and leaseback
d) Delays payment of wages
- Q.57** A reduction in the demand for coal miners is likely to lead the economy to the following type of unemployment:
- A. Frictional B. **Structural**
C. Voluntary D. Cyclical
- Q.58** Which of the following would increase the value of multiplier?
- A. The propensity to spend extra income on domestic goods and services is high
B. The marginal rate of tax on extra income is low
C. The propensity to spend extra income rather than save is high and consumer confidence is high
D. **All of the above**
- Q.59** In the Keynesian theory of demand for money, the transactions demand for money is determined by:
- A. The rate of interest B. **The level of consumers' income**
C. Expected changes in consumer prices D. The amount of money in circulation
- Q.60** A country's balance of payment position exhibits:
- A. Whether the country saves enough to pay for its imports
B. Whether the country produces enough economic output to pay for its growth
C. Whether the country's currency value is appreciating or depreciating
D. **All of the above**
- Q.61** Which of the following instruments are NOT traded in the capital market?
- A. Corporate bonds B. Mutual funds
C. **Mortgages** D. Shares
- Q.62** The horizontal demand curve parallel to x-axis implies that elasticity of demand is:
- A. Zero B. **Infinite** perfectly elastic
C. Equal to 1 D. Between 0 and 1
- Q.63** Which of the following will NOT cause a shift in the Production Possibility Curve?
- A. **A fall in unemployment** B. Increase in age of retirement
C. Technological improvement D. Capital investment
- Q.64** Which of the following statements is NOT true?
- A. Ceteris paribus means other things remaining same
B. One of the economic goals is to maintain price stability
C. **Normative aspect of economics deals with factual questions**
D. Agent is a decision maker within an economic model
- Q.65** Which of the following statements is correct?
- A. When the average cost is constant, the marginal cost must be falling
B. When the average cost is rising, marginal cost is lower than average cost
C. **When the average cost is rising, marginal cost is higher than average cost**
D. When the average cost is falling, marginal cost must be rising
- Q.66** Which of the following is NOT a feature of monopolistic competition?

- A. Low barriers to entry and exit
B. Many firms supplying to the market
C. Firms can change their actions without influencing the behaviour of other firms
D. Each firm faces a horizontal demand curve
- Q.67** Which of the following may be regarded as a positive consequence of inflation?
A. Improvement in the value of money
B. **Benefit to the debtors**
C. Benefit to the creditors
D. Reduction in prices
- Q.68** Which of the following factors might cause an upward shift in the country's consumption function?
A. A fall in share prices
B. **A fall in interest rates**
C. Households deciding to be economical
D. Expectation of recession
- Q.69** Which of the following is NOT part of public expenditure?
A. Investment by nationalized industries
B. Spending by local governments
C. Capital spending of public companies
D. Interest on the national debt
- Q.70** Structural unemployment is a type of unemployment which:
A. Increases in a recession and falls in a boom
B. **Arises due to lack of skills required for a newly created job**
C. Arises when persons give up hope of finding a job
D. Occurs as a result of transition from one job to another
- Q.71** By budgeting for a deficit, a government aims to reduce:
A. Consumer spending
B. Inflation
C. Rate of economic growth
D. **Unemployment**
- Q.72** Cheques are NOT money because they:
A. are issued by the banks instead of the government
B. **are merely instructions to transfer money**
C. have value in exchange but little intrinsic value
D. are not backed by either gold or silver
- Q.73** Which option is correct?
Statement I: Batch processing is used in airline reservation systems
Statement II: Batch processing is used for employee payroll in a manufacturing organization
A. Both statements I and II are correct
B. Only statement I is correct
C. Only statement II is correct
D. Both statements I and II are incorrect
- Q.74** _____ and _____ are different from each other.
A. Marketing and production
B. **Marketing and sales**
C. Sales and distribution
D. Advertising and promotion
- Q.75** Which of the following statements is NOT true in context of Keynesian liquidity trap, where prevailing interest rates are very low?
A. People may decide to hoard cash
B. **Savings are moved to short-term investment bearing accounts**
C. Monetary policy triggers aggregate demand
D. Forecast of return on investment is downgraded
- Q.76** Which one of the following statements is correct?
Statement 1: General partnership both have limited liability
Statement 2: In limited partnership at least one has unlimited liability
A. Statement 1 is correct
B. **Statement 2 is correct**
C. Both are correct
D. Both are incorrect
- Q.77** Which of the following are internal stakeholders of a business?
A. **The CEO**
B. **HR manager**
C. Supplier
D. Customers

- Q.78** Which of the following is an example of entrepreneurial ability as a factor of production?
- A. A worker on an assembly line
 - B. A business owner who takes risks and innovates**
 - C. A banker who lends money to businesses
 - D. A government bureaucrat who regulates businesses
- Q.79** Which of the following is a characteristic of capital as a factor of production?
- A. It includes money held in savings accounts
 - B. It is a non-physical factor of production
 - C. It is a final product that is sold to consumers
 - D. It is used to produce other goods and services**
- Q.80** Which of the following is a characteristic of natural resources as a factor of production?
- A. They are unlimited in supply
 - B. They are always easy to access and use
 - C. They can be depleted over time**
 - D. They do not require any labor or capital inputs to use
- Q.81** Which of the following is an example of a derived demand for a factor of production?
- A. Consumers demand more cars, so car manufacturers hire more workers**
 - B. Consumers demand more vacation time, so hotel owners hire more workers
 - C. Consumers demand more smartphones, so smartphone manufacturers purchase more silicon
 - D. Consumers demand more clothing, so textile factories purchase more cotton
- Q.82** Which TWO of the following are examples of intangible goods?
- A. Mobile phone
 - B. Bonds**
 - C. Mobile applications**
 - D. Investment banking
- Q.83** Which of the following is true about a production possibility curve?
- A. It is a static model that does not change over time
 - B. It assumes that all resources are fully utilized
 - C. It assumes that all resources are perfectly interchangeable
 - D. It shows the trade-offs between producing two goods or services**
- Q.84** Which of the following best describes the opportunity cost of producing a good?
- A. The cost of producing the good in terms of money
 - B. The value of the next-best alternative forgone**
 - C. The value of the resources used to produce the good
 - D. The amount of time it takes to produce the good
- Q.85** Alpha Limited runs a Zakat foundation. This year, they hired Beta Company for collection of Zakat from houses. This arrangement is an example of:
- A. Centralization
 - B. Outsourcing**
 - C. Decentralization
 - D. Delegation
- Q.86** Alpha Crystals is a family-owned business with no physical office, and all marketing and promotion are done by the family. This business structure is:
- A. Virtual**
 - B. Functional
 - C. Divisional
 - D. Matrix
- Q.87** Which of the following are examples of short-term finance? (Select two)
- A. Trade credit**
 - B. Debentures
 - C. Factoring**
 - D. Bonds
- Q.88** Which of the following is a criticism of socialism?
- A. It leads to a concentration of wealth and power in the hands of a few individuals
 - B. It promotes competition and individual achievement at the expense of the greater good
 - C. It stifles innovation and technological progress**

- D. It places too much emphasis on the needs of the collective at the expense of individual rights
- Q.89** Which of the following is an internal stakeholder?
- A. Trade union
C. Executive directors
 B. Chief of technical operation
 D. Independent directors
- Q.90** Which TWO of the following are correct regarding partnership?
- A. General liability partnership is a written agreement
 B. Solicitors have no more than 20 partners
C. General partnership has all unlimited partners
D. Limited partnership has at least one general partner
- Q.91** Which of the following is a potential benefit of a socialist economy?
- A. Increased innovation and technological progress
 B. Greater income inequality and social stratification
C. More efficient allocation of resources
 D. Lower levels of government intervention and regulation
- Q.92** Which of the following is a potential disadvantage of a socialist economy?
- A. Decreased income inequality and poverty reduction
B. Reduced incentives for entrepreneurship and innovation
 C. Increased economic instability and fluctuations
 D. Greater emphasis on individualism and consumerism
- Q.93** Which of the following is the difference between Murabaha and conventional loans?
- A. Murabaha involves payment of a fixed markup on the cost of the goods, while conventional loans involve payment of interest**
 B. Murabaha involves sharing profits between the buyer and seller, while conventional loans do not
 C. Murabaha is based on a profit and loss sharing system, while conventional loans are not
 D. Murabaha involves joint ownership of the goods between the buyer and seller, while conventional loans do not
- Q.94** ____ has no role in the business and is not a permanent part of the organization but can influence decisions.
- A. Connected stakeholders
 C. Shareholders
B. External audit
 D. Government
- Q.95** Which of the following is NOT a key element of an information system?
- A. Privacy and security
C. Executive system
 B. Database
 D. Network
- Q.96** Which of the following is a benefit of Murabaha for the buyer?
- A. Lower cost compared to conventional loans
B. The ability to own the goods immediately
 C. The option to negotiate the markup with the seller
 D. The opportunity to invest in the goods with the seller
- Q.97** Alpha Limited envisions to be the best fast-food selling restaurant in the area. To achieve this, they increase sales, provide fast 24-hour delivery, and reduce customer complaints by 10%. What is the vision of Alpha Limited?
- A. Increase sales
 C. Gain more profit
B. Be the best fast-food restaurant in the region
 D. Provide fast services
- Q.98** Which of the following factors affects the demand for a good?
- A. The price of the good itself**
C. The income of the consumer
B. The price of complementary goods
D. The availability of substitute goods
- Q.99** Demand is the ____.
- A. The desire for a commodity given its price and those related commodities.

- B. The entire relationship between the quantity demanded and the price of a good other things remain the same.
- C. Willingness to pay for goods if income is larger enough.
- D. Ability to pay for a good.
- Q.100** In economics, Effective Demand for a thing depends on:
- A. Desire
- B. Means to purchase
- C. Willingness to use those means for that purchase
- D. All of the above.
- Q.101** _____ is/are the types of Related Commodities.
- A. Complementary
- B. Substitutes
- C. Complementary and Substitutes
- D. Complementary or Substitutes
- Q.102** What is the role of Foreign Direct Investment (FDI) in globalization?
- A. Provide opportunities to subsidies only
- B. Improve foreign marketing of business
- C. Restrict domestic firms from international markets
- D. Increase government control over local industries
- Q.103** _____ are the commodities for which the quantity demanded rises only up to a certain level of income and decreases with an increase in money income beyond this level.
- A. Inferior Goods
- B. Normal Goods
- C. Consumption Goods
- D. Durable Goods
- Q.104** If the price of Pepsi decreases relative to the price of Coke and 7-UP, the demand for:
- A. Coke will decrease.
- B. 7-Up will decrease.
- C. Coke and 7-UP will increase.
- D. Coke and 7-Up will decrease.
- Q.105** When goods are substitutes, a fall in the price of one (ceteris paribus) leads to a fall in the quantity demanded of its substitutes.
- A. When commodities are complements, a fall in the price of one (other things being equal) will cause the demand of the other to rise.
- B. As the income of the consumer increases, the demand for the commodity increases always and vice versa.
- C. When a commodity becomes fashionable people prefer to buy it and therefore its demand increases.
- Q.106** Chicken and fish are substitutes. If the price of chicken increases, the demand for fish will _____.
- A. Increase or decrease but the demand curve for chicken will not change.
- B. Increase and the demand curve for fish will shift rightwards.
- C. Not change but there will be a movement along the demand curve for fish.
- D. Decrease and the demand curve for fish will shift leftwards.
- Q.107** What is the difference between short-run supply and long-run supply?
- A. Short-run supply is the quantity of a good that can be supplied in the short term, while long-run supply is the quantity of a good that can be supplied in the long term
- B. Short-run supply is the quantity of a good that can be supplied by a single producer, while long-run supply is the quantity of a good that can be supplied by all producers in the market
- C. Short-run supply and long-run supply are the same thing
- D. Short-run supply and long-run supply are unrelated
- Q.108** What is the difference between a market supply curve and an individual supply curve?
- A. A market supply curve shows the total quantity supplied by all producers in the market, while an individual supply curve shows the quantity supplied by a single producer
- B. A market supply curve shows the quantity supplied by a single producer, while an individual supply curve shows the total quantity supplied by all producers in the market
- C. A market supply curve and an individual supply curve are the same thing

- D. A market supply curve and an individual supply curve are unrelated
- Q.109** Which of the following is a characteristic of a highly elastic demand?
- A. Consumers are willing to pay any price for the product
 - B. The product is a necessity for consumers
 - C. There are many substitutes for the product**
 - D. The product has a unique characteristic that cannot be found elsewhere
- Q.110** What is the difference between perfectly elastic and perfectly inelastic demand?
- A. Perfectly elastic demand occurs when a change in price causes an infinite change in quantity demanded, while perfectly inelastic demand occurs when a change in price causes no change in quantity demanded**
 - B. Perfectly elastic demand occurs when a change in price causes no change in quantity demanded, while perfectly inelastic demand occurs when a change in price causes an infinite change in quantity demanded
 - C. Perfectly elastic demand and perfectly inelastic demand are the same thing
 - D. Perfectly elastic demand and perfectly inelastic demand are unrelated
- Q.111** What are the objectives of a public sector company? (Select two)
- A. Reduce cost
 - B. Increase profit
 - C. Public goods**
 - D. Social welfare**
- Q.112** What is the difference between elastic and inelastic demand?
- A. Elastic demand occurs when a change in price causes a larger change in quantity demanded, while inelastic demand occurs when a change in price causes a smaller change in quantity demanded**
 - B. Elastic demand occurs when a change in price causes a smaller change in quantity demanded, while inelastic demand occurs when a change in price causes a larger change in quantity demanded
 - C. Elastic demand and inelastic demand are the same thing
 - D. Elastic demand and inelastic demand are unrelated
- Q.113** Chain of command ensures:
- A. Unity of direction
 - B. Unity of command**
 - C. Informal communication
 - D. Employee empowerment
- Q.114** Strategic-level decisions are supported by:
- A. TPS
 - B. MIS
 - C. DSS
 - D. Executive Information System (EIS)**
- Q.115** What is the relationship between average total cost and marginal cost?
- A. Marginal cost is always greater than average total cost
 - B. Marginal cost is always less than average total cost
 - C. Marginal cost is equal to average total cost
 - D. The relationship between marginal cost and average total cost depends on the shape of the average total cost curve**
- Q.116** A tall and narrow organizational structure is characterized by:
- A. Fewer levels of authority
 - B. Wide span of control
 - C. Many hierarchical levels**
 - D. Decentralized decision-making
- Q.117** What is the relationship between marginal revenue and average revenue?
- A. Marginal revenue is always greater than average revenue.
 - B. Marginal revenue is always less than average revenue.
 - C. Marginal revenue is equal to average revenue.
 - D. The relationship between marginal revenue and average revenue depends on the shape of the demand curve.**
- Q.118** Which of the following is an example of a situation where average revenue is decreasing?
- A. A company increases the price of its product and sells more units.

- B. A company decreases the price of its product and sells more units.
 C. A company increases the price of its product and sells fewer units.
 D. A company decreases the price of its product and sells fewer units.
- Q.119** Preference shares are often called "hybrid" mainly because they:
 a) Have voting rights like ordinary shares and variable dividends
 b) Carry a fixed dividend like debt but remain part of equity capital
 c) Must be repaid at maturity like debentures
 d) Are always convertible into bonds
- Q.120** In monopolistic competition, each firm:
 A. Has significant control over price
 B. Is a price taker
 C. Must charge the same price as its competitors
 D. Cannot earn economic profit in the long run
- Q.121** Which of the following is an example of product differentiation in monopolistic competition?
 A. A gas station that sells the same brand of gasoline as its competitors
 B. restaurant that offers a unique menu of dishes that cannot be found anywhere else
 C. A grocery store that sells generic brands of food
 D. A clothing store that only sells one style of clothing in various colors
- Q.122** Which of the following statements is true about monopolistic competition?
 A. There are many firms in the market, but they sell differentiated products
 B. There are only a few firms in the market, but they sell identical products
 C. There is only one firm in the market that sells a unique product
 D. There are many firms in the market, and they all sell identical products
- Q.123** Which of the following is a barrier to entry in monopolistic competition?
 A. The need for large amounts of capital to enter the market
 B. The existence of economies of scale
 C. The existence of patents or other forms of intellectual property protection
 D. The availability of perfect substitutes for the product
- Q.124** Which of the following is the correct formula for Gross National Product (GNP)?
 A. $GNP = GDP + \text{net factor income from abroad}$
 B. $GNP = GDP - \text{net factor income from abroad}$
 C. $GNP = NDP - \text{net factor income from abroad}$
 D. $GNP = NNP - \text{net factor income from abroad}$
- Q.125** If a business wants to interact with a public or private company in Pakistan, whose set of rules would be followed?
 A. Federal Board of Revenue (FBR)
 B. Securities and Exchange Commission of Pakistan (SECP)
 C. Sindh Consumer Protection Council (SCCP)
 D. Finance and Competition Pakistan
- Q.126** Which of the following is the correct formula for Net National Product (NNP)?
 A. $NNP = GDP + \text{depreciation}$
 B. $NNP = GNP - \text{depreciation}$
 C. $NNP = GDP - \text{depreciation}$
 D. $NNP = GNP + \text{depreciation}$
- Q.127** What is the reason for the difference in the shape of the Keynesian aggregate supply curve in the short run and the long run?
 A. Sticky prices in the short run and flexible prices in the long run
 B. Demand-driven output in the short run and supply-driven output in the long run
 C. Excess supply in the short run and excess demand in the long run
 D. Government intervention in the short run and market-driven output in the long run

- Q.128** According to the pecking order theory, firms prefer to finance new projects first by using:
 a) **Retained earnings (internal funds)** b) Issuing new ordinary shares
 c) Issuing preference shares d) Long-term debentures only
- Q.129** What is the impact of autonomous consumption on the consumption function?
 A. **It shifts the consumption function upward**
 B. It shifts the consumption function downward
 C. It does not impact the consumption function
 D. It changes the slope of the consumption function
- Q.130** What is the relationship between autonomous consumption and disposable income?
 A. Positive relationship B. Negative relationship
 C. **No relationship** D. Inverse relationship
- Q.131** What is the relationship between the MPS and the APS on the graph?
 A. The MPS intersects the APS line at a 90-degree angle
 B. **The MPS intersects the APS line at a 45-degree angle**
 C. The MPS is represented by a horizontal line
 D. The MPS is not represented on the graph
- Q.132** What does the Marginal Propensity to Save (MPS) represent on the graph?
 A. **The slope of the Average Propensity to Save (APS) line**
 B. The vertical intercept of the APS line
 C. The point where the APS line intersects the x-axis
 D. The amount of saving at a specific level of income
- Q.133** Which of the following is a limitation of the multiplier effect?
 A. It assumes that all resources are fully utilized
 B. It assumes that there are no leakages in the economy
 C. It assumes that there are no external shocks
 D. **All of the above**
- Q.134** Which of the following factors can affect the size of the multiplier effect?
 A. The marginal propensity to save B. The marginal propensity to consume
 C. The level of government spending D. **All of the above**
- Q.135** Which of the following best defines the multiplier effect?
 A. **The effect of a change in one economic variable on other variables in the economy**
 B. The increase in government spending that leads to a proportionate increase in output
 C. The effect of a change in the money supply on interest rates
 D. The change in consumer spending that leads to a change in the level of employment
- Q.136** How does the size of the MPC affect the effectiveness of fiscal policy?
 A. **A larger MPC makes fiscal policy more effective**
 B. A smaller MPC makes fiscal policy more effective
 C. The size of the MPC has no effect on the effectiveness of fiscal policy
 D. It depends on other factors such as the level of government spending and the tax rate
- Q.137** How does an increase in the MPC affect the size of the multiplier?
 A. **It increases the size of the multiplier**
 B. It decreases the size of the multiplier
 C. It has no effect on the size of the multiplier
 D. It depends on other factors such as the initial level of spending and the size of the fiscal stimulus
- Q.138** What is the relationship between the multiplier and the MPC?
 A. **The multiplier is equal to $1/\text{MPC}$** B. The MPC is equal to $1/\text{multiplier}$
 C. The multiplier and MPC are unrelated D. The MPC is equal to the multiplier
- Q.139** Which of the following is an example of automatic stabilizers in fiscal policy?
 A. Increasing government spending during a recession

- B. Decreasing taxes during an economic expansion
C. Unemployment insurance payments during a recession
 D. All of the above
- Q.140** What is the impact of devaluation on a country's inflation rate?
A. It increases the inflation rate B. It decreases the inflation rate
 C. It has no impact on the inflation rate D. It depends on the interest rate differential
- Q.141** A wide and flat organizational structure results in:
 A. More management layers B. Narrow span of control
C. Fewer levels of management D. Increased centralization
- Q.142** Which of the following is a major concern of the local community regarding business?
 A. Dividend policy B. Market share
C. Environmental protection D. Capital structure
- Q.143** A café's vision statement is: "We always want to be known for excellent croissants, coffee and cakes, and as the perfect place to enjoy them with family and friends." Which TWO options are correct?
A. It is a good vision statement because it highlights how it wishes to be known
B. It is a good vision statement because it highlights what it wants to be in the future
 C. It is a bad vision statement because it does not highlight present-day focus
 D. It is a bad vision statement because it does not tell the function of the business
- Q.144** Which of the following is an example of INFORMATION rather than DATA?
 a) List of daily sales invoices
 b) Rs. 250,000 recorded as today's sales
c) Monthly sales increased by 8% compared with last month
 d) Customer ID numbers in a database
- Q.145** Demand for a product is increasing. The firm aims to substantially increase profitability through the use of certain components by the end of the year. Which TWO of the following are NOT part of the SMART objective here?
 A. Specific **B. Measurable**
C. Realistic D. Time-bound
- Q.146** What is the "liquidity trap" limitation of monetary policy?
A. When interest rates are already at or near zero, monetary policy becomes ineffective
 B. When inflation is too high, monetary policy becomes ineffective
 C. When the economy is in a recession, monetary policy becomes ineffective
 D. When the government has a high level of debt, monetary policy becomes ineffective
- Q.147** Which of the following is a potential consequence of using expansionary monetary policy during a period of high inflation?
 A. Reduced economic growth **B. Increased inflation**
 C. Reduced employment D. Increased government spending
- Q.148** What is the limitation of using interest rates as a tool for monetary policy?
 A. Interest rates may not affect the real economy as expected
 B. Interest rate changes may take too long to have an impact
 C. Interest rate changes may have unintended consequences
D. All of the above
- Q.149** Marketing differs from sales because marketing:
 A. Focuses only on selling goods B. Starts after production
C. Emphasizes customer needs and satisfaction D. Ignores long-term relationships
- Q.150** Which of the following are NOT considered debt financing? (Choose two)
A. Preference shares B. Bonds
C. Ordinary shares D. Debentures



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- Q.151** Which of the following is not a function of the central bank?
- A. Issuing currency
C. Acting as a lender of last resort
B. **Accepting deposits from the public**
D. Controlling the money supply
- Q.152.** Which of the following is not a function of a commercial bank?
- A) Providing loans to businesses and individuals
B) Accepting deposits from customers
C) **Printing and issuing currency**
D) Facilitating online banking services
- Q.153** Which of the following best describes Nominal GDP?
- A) GDP adjusted for inflation
C) **GDP measured at current market prices**
B) GDP based on constant prices
D) GDP excluding net exports
- Q.154** Real GDP differs from Nominal GDP in that it:
- A) Excludes government spending
C) **Is adjusted for inflation**
B) Includes only goods, not services
D) Is calculated using current year prices
- Q.155** What does the GDP deflator measure?
- A) The total output of goods and services in an economy
B) The change in prices of a fixed basket of goods
C) **The ratio of nominal GDP to real GDP**
D) The amount of tax collected on GDP
- Q.156** If the GDP deflator is increasing, this indicates:
- A) A decrease in real output
C) A trade surplus
B) **Inflation in the economy**
D) Deflation in the economy
- Q.157** If Nominal GDP increases but Real GDP remains constant, which of the following must be true?
- A) The economy has produced more goods and services
B) The population has increased
C) **The price level has increased**
D) The unemployment rate has decreased
- Q.158** Which of the following is a spontaneous (non-negotiated) source of short-term finance?
- a) Issue of debentures
b) Long-term bank loan
c) Rights issue
d) **Trade credit from suppliers**
- Q.159** Which scenario could lead to Real GDP falling while Nominal GDP rises?
- A) The central bank cuts interest rates, increasing output
B) **Inflation increases while production decreases**
C) Deflation leads to a rise in overall spending
D) Government spending decreases during a period of deflation
- Q.160** Outsourcing is used mainly to:
- A. Increase internal workforce
C. Improve employee morale
B. **Reduce cost and focus on core activities**
D. Centralize management control
- Q.161** Which of the following is a key limitation of the accelerator principle in real-world economies?
- A) It assumes full employment always exists
B) **It assumes investment responds instantly to income changes**
C) It ignores the marginal propensity to consume
D) It includes autonomous consumption in investment decisions
- Q.162** One practical limitation of the accelerator principle is:
- A) Consumers always spend 100% of additional income
B) Investment is solely based on changes in interest rates



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- C)** Businesses may not invest despite rising demand due to excess capacity
D) Multiplier effects are always negative in practice
- Q.163** Which of the following is not an assumption of the Keynesian multiplier model?
A) No time lags in spending B) Prices remain constant
C) Taxes vary with income D) The marginal propensity to consume is stable
- Q.164** The effectiveness of the multiplier relies on the assumption that:
A) The price level fluctuates freely
B) There is full employment in the economy
C) There are no leakages such as savings or imports
D) The government balances its budget every year
- Q.165** Which of the following best defines a recession?
A) A decrease in the money supply
B) A sustained rise in the general price level
C) A period of negative economic growth lasting two or more consecutive quarters
D) An increase in exports over imports
- Q.166** During a recession, which of the following is most likely to occur?
A) High inflation and low unemployment
B) Decreased consumer spending and increased unemployment
C) Increased GDP and higher investment
D) Central banks raise interest rates to curb demand
- Q.167** Which of the following best describes an indirect tax?
A) A tax paid directly to the government by the individual
B) A tax on profits earned by corporations
C) A tax levied on goods and services, paid by consumers through producers
D) A tax on income earned from wages and salaries
- Q.168** Which of the following is typically considered an indirect tax?
A) Corporate income tax B) Capital gains tax
C) Sales tax D) Property tax
- Q.169** Why a regressive tax is often considered unfair?
A) It imposes higher rates on higher income groups
B) It increases with the income level
C) It takes a larger percentage of income from the poor than the rich
D) It only applies to business profits
- Q.170** Which of the following is an example of a regressive tax in effect?
A) Income tax with progressive brackets B) Inheritance tax
C) Flat-rate sales tax on essential goods D) Corporation tax based on profit level
- Q.171** "Alpha Bakery" made their vision statement as:
"To always be first choice of people for delicious doughnuts and coffee and become a peaceful and friendly place for friends and family." Which of the following is correct?
A) It is a good vision statement because it tells what they want to be in future.
B) It is a good vision statement because it explains the present activities of the business.
C) It is a bad vision statement because it hasn't put emphasis on present state.
D) It is a bad vision statement because it hasn't explained their purpose of existence.
- Q.172** Which of the following is not considered a disadvantage of direct taxes?
A) They can be evaded B) They are administratively costly
C) They are easy to shift to others D) They can reduce disposable income
- Q.173** Which of the following is true about the natural rate of unemployment?

- A) It equals zero in a perfectly competitive economy
 B) It includes cyclical unemployment
C) It reflects only voluntary and structural unemployment
 D) It can be eliminated through monetary policy
- Q.174** What does an increase in the natural rate of unemployment typically suggest?
 A) The economy is in a recession
 B) Inflation is accelerating
C) Structural issues like skill mismatches or labor market rigidities are worsening
 D) The central bank has raised interest rates
- Q.175** Which of the following is NOT a typical consequence of a current account deficit?
 A) Increase in foreign debt
 B) Depreciation of the local currency
C) A rise in national savings
 D) Loss of foreign reserves
- Q.176** Chain of command refers to:
 A. Informal communication network
 B. Number of employees in an organization
C. Line of authority from top to bottom
 D. Degree of employee motivation
- Q.177** If a country faces a persistent current account deficit, it may face which of the following risks?
 A) Inflationary pressure due to higher domestic demand
 B) A sudden shift to a current account surplus without policy changes
C) Increased vulnerability to external shocks and foreign exchange risk
 D) Decreased foreign investment in domestic assets
- Q.178** Which of the following statements is correct regarding shareholders?
 A. Shareholders participate in day-to-day affairs of the company
 B. Shareholders have no right to receive dividends
C. Shareholders do not take part in day-to-day management
 D. Shareholders must manage operational decisions
- Q.179** A convenience product is one which:
 A. Is purchased infrequently after comparison
 B. Requires high consumer involvement
C. Is purchased frequently with minimum effort
 D. Is customized according to consumer demand
- Q.180** If the marginal propensity to save (MPS) is 0.2 and the national income is 400, what is the level of consumption (C), assuming the economy has no taxes or other external factors?
A) 320
 B) 280
 C) 200
 D) 100
- Q.181** What is the term for the tax imposed on both imports and exports?
 A) Sales tax
 B) Import duty
C) Tariff
 D) Excise duty
- Q.182** Structural unemployment refers to:
 A) Unemployment due to a recession or economic downturn
B) Unemployment caused by a mismatch between workers' skills and the jobs available
 C) Unemployment caused by seasonal fluctuations in demand for certain jobs
 D) Unemployment caused by the friction of people moving between jobs
- Q.183** Which of the following is a monetary policy tool for controlling the economy?
 A) Reducing government spending
B) Adjusting interest rates
 C) Increasing taxes
 D) Setting import quotas
- Q.184** Which factor does not affect supply in the economy?
 A) Input prices
 B) Technology
 C) Number of producers
D) Consumers' preferences

- Q.185** Which of the following is not a feature of an Islamic economy?
- A) Interest-based banking system
 - B) Redistribution of wealth through charity and taxes
 - C) Prohibition of speculative transactions (Gharar)
 - D) Focus on ethical investments
- Q.186** Hoarding in economic terms refers to:
- A) Investing in gold and silver to preserve wealth
 - B) The accumulation of goods by individuals or groups, typically during times of shortage or uncertainty
 - C) The act of borrowing money to increase consumption
 - D) The government setting aside reserves for future spending
- Q.187** Riba in Islamic finance refers to:
- A) A form of trade
 - B) Usury or charging interest on loans
 - C) Profit-sharing in business ventures
 - D) A form of charitable giving
- Q.188** Redistribution of wealth in an economic system aims to:
- A) Increase national income
 - B) Improve economic growth
 - C) Reduce inequality by redistributing resources from the rich to the poor
 - D) Encourage foreign investment
- Q.189** Which of the following is not a factor of production?
- A) Land
 - B) Money
 - C) Entrepreneurship
 - D) Labor
- Q.190** Vegetation is most closely related to which factor of production?
- A) Land
 - B) Labor
 - C) Capital
 - D) Entrepreneur
- Q.191** Which of the following graphs represents the trade-off relationship between inflation and unemployment?
- a) Supply curve
 - b) Demand curve
 - c) Phillips curve
 - d) Laffer curve
- Q.192** Which of the following is NOT an external stakeholder?
- A. Customer
 - B. Lenders
 - C. Government
 - D. Employees
- Q.193** Which of the following factors involves the use of raw materials for production?
- a) Capital
 - b) Land
 - c) Entrepreneur
 - d) Labor
- Q.194** Which of the following terms refers to a financial arrangement where one person provides capital, and the other runs the business, sharing profits?
- a) Musharakah
 - b) Murabaha
 - c) Mudarabah
 - d) Ijara
- Q.195** Which of the following best describes the role of capital in the production process?
- a) It includes all the natural resources used in production.
 - b) It refers to the skills and expertise of the workforce.
 - c) It is used for the procurement of physical goods to aid in production.
 - d) It involves the financial backing for investment in business operations.
- Q.196** The Phillips curve suggests that:
- a) There is no relationship between inflation and unemployment.
 - b) A trade-off exists between inflation and unemployment in the short run.
 - c) A rise in inflation leads to a rise in unemployment.
 - d) Unemployment and inflation move in the same direction.

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- Q.197** Which of the following Islamic finance principles involves a fixed markup on the sale of goods or services?
a) Musharakah
b) **Murabaha**
c) Ijarah
d) Mudarabah
- Q.198** The primary goal of a financial manager is to:
A. Record day-to-day transactions
B. **Maximize shareholders' wealth (firm value)**
C. Increase sales revenue at any cost
D. Ensure employees' welfare is the only priority
- Q.199** Which of the following directly depends on the supply curve?
a) Taste of the consumer
b) **Commodity price**
c) Size of population
d) Income of consumer
- Q.200** Which two of the following do not satisfy the equation for economic profit?
a) Accounting profit + implicit cost
b) Sales revenue - explicit cost + implicit cost
c) **Normal profit - implicit cost**
d) Accounting profit - explicit cost + implicit cost
- Q.201** Which of the following is a key factor that influences the position of the supply curve?
a) Changes in consumer preferences
b) Technology improvements in production
c) Changes in wages or income of consumers
d) Consumer expectations about future prices
- Q.202** Which of the following equations best represents the formula for calculating economic profit?
a) Sales revenue - explicit costs
b) Accounting profit - implicit costs
c) Sales revenue - explicit costs - implicit costs
d) Normal profit + implicit costs
- Q.203** What does the "normal profit" in economics represent?
a) Profit above the total costs of production
b) The minimum amount of profit needed to keep resources in their current use
c) Profit equal to the explicit costs incurred
d) The additional profit from increased production
- Q.204** Which of the following is an advantage of a sole proprietorship?
A. Unlimited liability
B. Quick decision making
C. Difficult to form and manage
D. Separation of ownership and control
- Q.205** A person who leaves a job and seeks another organization for better wages and compensation is called:
a) Cyclical unemployment
b) Frictional unemployment
c) Structural unemployment
d) Voluntary unemployment
- Q.206** Which of the following best represents a scenario where a country experiences inflation but also a rise in unemployment?
a) A period of economic expansion
b) A stagflation scenario
c) A recessionary period
d) An economic boom
- Q.207** What is the primary cause of frictional unemployment?
a) A mismatch between workers' skills and job market demands
b) Short-term voluntary movements between jobs
c) A recession causing mass layoffs
d) Technological advancements rendering certain jobs obsolete
- Q.208** Which of the following factors is NOT typically associated with structural unemployment?
a) Technological change
b) Seasonal variations in employment
c) Shifts in consumer demand for goods and services
d) A permanent mismatch between worker skills and job requirements
- Q.209** Calculate injections?
• Savings: 3380
• Government expenditures: 5900

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- Imports: 7800
 - Investment: 8000
 - Tax: 6200
 - Exports: 8900
- a) 17380 b) 20080
c) 22800 d) 21700
- Q.210** Which of the following represents the sum of injections in the circular flow of income?
- a) Exports + Government expenditure + Investment
b) Exports + Savings + Imports
c) Tax + Imports + Savings
d) Government expenditure + Tax + Investment
- Q.211** Which of the following would be classified as a leakage in the circular flow model?
- a) Investment b) Exports
c) Savings d) Government expenditure
- Q.212** If injections exceed leakages in an economy, what is the likely result?
- a) A decrease in national income b) An increase in national income
c) A balanced economy d) No effect on national income
- Q.213** Which of the following types of consumption does not depend on a person's income?
- a) Induced consumption
b) Autonomous consumption
- Q.214** Which of the following best explains induced consumption?
- a) Consumption that remains constant regardless of income levels
b) Consumption that varies directly with changes in income
c) Consumption that occurs due to external factors like government policy
d) Consumption that depends on savings and investments
- Q.215** Globalization of product refers to:
- A. Producing goods only for domestic markets
B. Selling standardized products in international markets
C. Customizing products for local consumers only
D. Limiting production to one country
- Q.216** If an individual's income increases, which of the following will most likely increase in response?
- a) Autonomous consumption
b) Induced consumption
c) Both autonomous and induced consumption
d) Neither autonomous nor induced consumption
- Q.217** If the demand curve for a firm's output is perfectly elastic, then the firm is:
- a) A monopolist b) Perfectly competitive
c) An oligopolistic d) Monopolistically competitive
- Q.218** The government will increase the interest rate in:
- a) Recession b) Prosperity
c) Downturn d) None of the above
- Q.219** Which of the following is the best cause of demand-pull inflation?
- a) Increase in aggregate demand exceeding aggregate supply
b) A rise in production costs
c) Increased money supply
d) Fall in government taxation
- Q.220** A relatively elastic point on the demand curve indicates that the coefficient of elasticity is:
- a) >1 b) < 1
c) =1 d) =0

- Q.221** If income elasticity of demand is positive and greater than 1, the product is:
- Normal goods
 - Superior goods
 - Inferior goods
 - Substitutes
- Q.222** The envelope curve is used for:
- Measuring the efficiency of production
 - Representing the maximum output of a firm given its production function
 - Analyzing the optimal combination of inputs for a firm
 - Determining the demand curve of a firm
- Q.223** Which of the following is used for the anti-deflationary concept?
- Expansionary policy
 - Contractionary policy
- Q.224** In a perfectly competitive market, the firm's demand curve is:
- Downward sloping
 - Vertical
 - Perfectly elastic
 - U-shaped
- Q.225** Which of the following would most likely lead to demand-pull inflation?
- A sharp rise in commodity prices
 - Increased consumer spending fueled by an economic boom
 - A decrease in government spending
 - A drop in consumer confidence
- Q.226** Which of the following is a feature of a planned economy?
- Production decisions are driven by market forces
 - Private ownership of resources is allowed
 - Central planning guides economic activities
 - Prices are determined by supply and demand
- Q.227** Supply curve for perfect competition is:
- Upward sloping
 - Downward sloping
 - Horizontal
 - Vertical
- Q.228** Goods whose income increases as price increases are called:
- Inferior goods
 - Giffen goods
 - Normal goods
 - Luxury goods
- Q.229** What will be the impact on Pakistan's economy if inflation increases abroad?
- Increased exports from Pakistan
 - Reduced imports to Pakistan
 - Increased demand for foreign currency
 - Increased value of Pakistani rupee
- Q.230** If commercial banks' total reserves are less than expected reserves then
- call in loans, decrease reserve
 - call in loans, increase reserves
 - additional loans, decrease reserves
 - Increased value of Pakistani rupee
- Q.231** If inflation is greater than the expected inflation then in that case
- Unemployment is greater than the natural rate of unemployment
 - Unemployment is less than the natural rate of unemployment
 - Unemployment is negligible
 - Stagflation
- Q.232** Select the correct statement
- Proportional system issues note up to a certain limit, without any asset backed derivative
 - Central bank manipulates foreign reserves and gold to balance the trade deficit.
- Statement i is correct
 - Statement ii is correct
 - Both are correct
 - Both are not correct
- Q.233** Unemployment due to mismatch between skill possessed and present available jobs:

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- a) Cyclical unemployment
c) Structural unemployment
- b) Frictional unemployment
d) Seasonal unemployment
- Q.234** The primary role of a financial manager is to:
- A. Prepare accounting records
C. Ensure optimal use of financial resources
- B. Manage procurement activities
D. Supervise production staff
- Q.235** Which of the following is a non-monetary trade policy measure?
- a) Tariff
c) Open market operations
- b) Central bank discount rate
d) Reserve requirement
- Q.236** Which of the following is an example of a non-monetary barrier to trade?
- a) Quota
c) Selling government securities
- b) Bank rate policy
d) Changing cash reserve ratio
- Q.237** Business ethics mainly deals with:
- A. Legal obligations only
C. Maximization of shareholders' wealth
- B. Moral principles guiding business behavior
D. Competitive strategies of firms
- Q.238** If the supply of good X decreases while the supply of good Y increases, X and Y are most likely:
- a) Substitutes in production
c) Inferior goods
- b) Complements in consumption
d) Giffen goods
- Q.239** A fall in the price of good X causes an increase in demand for good Y. X and Y are:
- a) Complements
c) Independent goods
- b) Substitutes
d) Inferior goods
- Q.240** A demand curve that is perfectly inelastic is:
- a) Vertical (quantity fixed regardless of price)
b) Horizontal (any price yields infinite quantity)
c) Upward sloping (higher price → higher quantity)
d) Positively sloped due to Giffen behaviour
- Q.241** When the central bank sells government securities in the open market, the immediate effect is:
- a) Monetary base decreases and interest rates tend to rise
b) Monetary base increases and interest rates fall
c) No change in monetary base but inflation rises
d) Government budget deficit declines directly
- Q.242** With marginal propensity to consume (MPC) = 0.8, the Keynesian simple spending multiplier equals:
- a) 5
c) 1.25
- b) 4
d) 0.8
- Q.243** If the GDP deflator rises while real GDP is unchanged, then nominal GDP will:
- a) Rise
c) Stay the same
- b) Fall
d) Become negative
- Q.244** Span of control refers to:
- A. Number of subordinates directly supervised by a manager
B. Total authority delegated to employees
C. Length of the chain of command
D. Degree of centralization in an organization
- Q.245** A current account surplus (all else equal) typically leads to:
- a) Net inflow of foreign exchange and upward pressure on foreign reserves or currency
b) Immediate depreciation of domestic currency
c) A decline in national savings
d) Higher unemployment automatically



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- Q.246** If quantity demanded falls from 100 to 90 when price rises from 10 to 11, the price elasticity of demand
- a) -1.0 (unit elastic) b) -0.5 (inelastic)
c) -2.0 (elastic) d) 0 (perfectly inelastic)
- Q.247** A profit-maximizing monopolist sets output where:
- a) Marginal revenue = Marginal cost (MR = MC) b) Price = Marginal cost (P = MC)
c) Average cost = Marginal cost (AC = MC) d) Price = Average revenue (P = AR)
- Q.248** In the long run under perfect competition, firms earn:
- a) Zero economic profit (normal profit) b) Large positive economic profit
c) Persistent economic losses d) Monopoly rents
- Q.249** The fiscal multiplier will be smaller when:
- a) The marginal propensity to import is high b) The economy has no taxes and no imports
c) There are large automatic stabilizers absent d) The economy is closed and has high MPC
- Q.250** Structural unemployment is best defined as:
- a) Unemployment caused by mismatch between workers' skills and jobs available
b) Unemployment caused only by business cycles
c) Short-term unemployment due to job search
d) Voluntary unemployment due to preference for leisure
- Q.251** Which price index includes imported consumer goods?
- a) Consumer Price Index (CPI) b) GDP deflator
c) Producer Price Index only d) Gross National Product deflator
- Q.252** Money used to compare the cost of goods functions as:
- A. Medium of exchange B. Measure of value
C. Store of value D. Standard of deferred payment
- Q.253** Terms of Trade (TOT) improve when:
- a) The export price index rises faster than the import price index
b) The import price index rises faster than the export price index
c) Both export and import price indices fall equally
d) Volume of exports falls while prices stay constant
- Q.254** If the central bank buys government securities in open market operations, the likely result is:
- a) Increase in reserves and expansion of money supply
b) Decrease in reserves and contraction of money supply
c) No change in reserves but higher taxes
d) Immediate reduction in interest rates to zero by law
- Q.255** A public good is characterized by being:
- a) Non-rival and non-excludable b) Rival and excludable
c) Private and sold in markets only d) Always provided efficiently by private firms
- Q.256** Demand-pull inflation is primarily caused by:
- a) Excess aggregate demand relative to aggregate supply
b) A supply shock that raises production costs
c) A fall in money supply only
d) A decline in consumer confidence causing lower spending
- Q.257** The Balance of Payments identity (ignoring errors & omissions) implies that:
- a) Current account + Capital/financial account + Official reserve changes = 0
b) Current account must always be positive
c) Capital account is always zero in open economies
d) Trade balance equals fiscal deficit
- Q.258** A regime where the central bank intervenes regularly to keep the currency inside a narrow band is best described as:
- a) Managed float (dirty float) or a pegged band



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- b) Pure free float with no interventions
c) Fixed exchange rate with no adjustments allowed ever
d) Currency union identical to adopting another country's currency
- Q.259** Which items are included in the current account of the balance of payments?
a) Exports and imports of goods and services, primary income (investment income), and secondary income (transfers)
b) Foreign direct investment and portfolio flows
c) Official reserve transactions only
d) Domestic fiscal deficit financing and bond issuance
- Q.260** Which of the following statement is correct?
A. Mission statement forms the basis of consistent future decision making and planning
B. Mission statement is for employees to achieve the goals
C. Mission statement defines short-term operational targets only
D. Mission statement focuses mainly on profit maximization
- Q.261** If the government finances higher public spending by the central bank printing money (monetizing the deficit), the most likely macroeconomic result is:
a) Demand-pull inflation (aggregate demand rises faster than aggregate supply)
b) Deflation (general price level falls)
c) Immediate and sustained improvement in the current account balance
d) A permanent reduction in unemployment below natural rate without inflationary pressure
- Q.262** PPF represent...
a) The combinations of goods/services that can be produced with given resources and technology
b) The combinations of goods/services that can be produced with unlimited resources
c) The maximum demand level in the economy
d) The minimum cost for producing one unit of output
- Q.263** Opportunity cost refers to:
a) Total money cost of production b) The value of the next best alternative forgone
c) The value of all alternatives forgone d) Only explicit cost paid in cash
- Q.264** Which of the following is NOT a function/objective of fiscal policy?
a) Reducing unemployment b) Controlling inflation
c) Promoting economic growth d) Controlling money supply through reserve requirement
- Q.265** Which of the following is a qualitative (selective) credit control tool?
a) Open market operations b) Bank rate (discount rate)
c) Moral suasion d) Cash reserve ratio
- Q.266** Which of the following is a transfer payment?
a) Salary paid to a government employee
b) Interest paid on government bonds
c) Old-age pension paid by government
d) Payment made for purchase of office furniture
- Q.267** If demand is inelastic and supply is elastic, then the burden of an indirect tax falls mainly on:
a) Producers b) Consumers
c) Government d) It is shared equally
- Q.268** Real GDP is:
a) GDP measured at current market prices (current year prices)
b) GDP measured at base year prices (constant prices)
c) GDP plus net factor income from abroad
d) GDP after adding depreciation
- Q.269** A balance of payments (BOP) deficit means:
a) Exports are greater than imports

- b) Total receipts from rest of world are less than total payments to rest of world
 c) Current account is always in deficit
 d) Capital account is always in surplus
- Q.270** Law of (variable) proportions states that:
 a) In the long run all factors are fixed
 b) In the short run, with one factor variable and others fixed, marginal product first rises then falls
 c) Average product is always increasing
 d) Total product always falls with increased input
- Q.271** According to the accelerator principle, investment depends mainly on:
 a) Interest rate only
 b) Change in income/output
 c) Level of money supply
 d) Price level only
- Q.272** When income increases, demand for which of the following increases?
 A) Giffen good
 B) Inferior good
 C) Superior good
 D) Normal good
- Q.273** Which of the following occurs during a recession?
 A) Increase in asset prices
 B) High unemployment
 C) Increase in aggregate demand
 D) Expansion in economic activity
- Q.274** Investment banking and conventional banking — which statement is correct?
 A) Conventional banking mainly deals in underwriting and IPOs
 B) Investment banking mainly accepts deposits from the public
 C) Investment banking mainly deals with capital market activities
 D) Conventional banking does not provide loans
- Q.275** According to the Keynesian Law of Consumption, which of the following statements are correct?
 A) When income increases, both consumption and savings increase
 B) When income increases, consumption increases at a lower rate than income
 C) When income increases, consumption decreases
 D) Savings remain constant regardless of income
- Q.276** What is double taxation on profit?
 a) Tax on profit and sales
 b) Tax on profit and dividends
 c) Tax on profit and wages
 d) Tax on revenue and profit
- Q.277** What is the reason for increasing opportunity cost?
 a) Some resources are not perfectly compatible (specialized) to produce all goods
 b) All resources are perfectly compatible
 c) Resources are unlimited
 d) Technology remains constant
- Q.278** Which TWO of the following are intangible products?
 A. Investment banking
 B. Mobile phone
 C. Mobile app
 D. Bonds
- Q.279** Statement I: Retaining earnings instead of distributing them is a source of equity finance.
 Statement II: Directors need shareholders' approval at AGM to retain earnings.
 A. Only I is correct
 B. Only II is correct
 C. Both are correct
 D. Both are incorrect
- Q.280** Which of the following is NOT added in the value-added approach of GDP calculation?
 a) Wages and salaries
 b) Rent
 c) Interest
 d) Cost of raw materials
- Q.281** If a Pakistani makes an investment in a foreign country, this transaction will be recorded in Pakistan as:
 a) Debit in current account
 b) Debit in capital account
 c) Credit in current account
 d) Credit in capital account

- Q.282** Which two of the following are assumptions of monetary policy?
- | | |
|---|--|
| a) Full employment | b) Capital-output ratio is constant |
| c) Credit money is considered to be elastic | d) Government expenditure remains constant |
- Q.283** The supply of a factor to a firm in perfect competition is:
- | | |
|------------------------|----------------------|
| A) Perfectly inelastic | B) Perfectly elastic |
| C) Elastic | D) Inelastic |
- Q.284** The demand curve of a firm in perfect competition is perfectly elastic because (select the most appropriate answer):
- | |
|---|
| a) The firm is a price taker |
| b) The output of the firm is similar to the output of other firms |
| c) Prices are fixed by the industry |
| d) The firm cannot change or determine prices |
- Q.285** Salman (sales manager) maintains friendly work relations, offers competitive pay, sets challenging tasks, and conducts performance appraisals independently of targets and communicates outcomes. Which is the best strategy to improve staff retention?
- | | |
|--------------------------------------|--------------------|
| A. Improve transparency in appraisal | B. Increase pay |
| C. Improve work relations | D. Give more tasks |
- Q.286** If demand of goods decreases when income increases, what type of goods are they?
- | | |
|-----------------|-------------------|
| a) Giffen goods | b) Superior goods |
| c) Normal goods | d) Inferior goods |
- Q.287** When the market price increases and market equilibrium quantity remains the same, the curve shows:
- | |
|--|
| a) Equal increase in demand and supply |
| b) Supply decreases and demand increases |
| c) Demand and supply fall equally |
| d) Demand decreases and supply decreases equally |
- Q.288** Supply curve is also called:
- | | |
|-------------------------------|------------------------------------|
| a) Minimum supply price curve | b) Maximum supply price curve |
| c) Marginal benefit curve | d) Desire and ability to pay curve |
- Q.289** Which of the following is NOT a part of fiscal policy?
- | | |
|--------------------|-------------------------------|
| a) Price stability | b) Rate of interest stability |
| c) Full employment | d) Economic growth |
- Q.290** Sources of short-term finance shown in the balance sheet:
- | | |
|----------------------|-----------------------|
| I. Accrued income | II. Line of credit |
| A. Only I is correct | B. Only II is correct |
| C. Both are correct | D. Both are incorrect |
- Q.291** If a business wants to interact/register/operate as a public or private company, which institute's rules would be followed?
- | | |
|---------|-------------------------------------|
| a) FBR | b) SECP |
| c) SCCP | d) Finance and Competition Pakistan |
- Q.292** What is true about Musharaka and Mudaraba?
- | |
|---|
| a) One provides capital and other provides skills in Mudaraba |
| b) Half-half capital is provided by both in Mudaraba |
| c) Both are lease-based agreements |
| d) Both guarantee fixed return to investor |
- Q.293** In a product-based organization, which TWO are NOT under manufacturing and operational responsibilities?
- | | |
|---|---|
| A. Procurement and logistics | B. Production scheduling and control |
| C. Operations-level recruitment for plant | D. Management-level recruitment for plant |

- Q.294** In the Average Variable Cost (AVC) curve, the U-shape represents:
- Law of diminishing returns (law of variable proportions)
 - Increasing resources continuously causes AVC to rise continuously
 - Decreasing resources continuously causes AVC to fall continuously
 - AVC remains constant due to fixed cost
- Q.295** Price mechanism does NOT provide:
- Security
 - Incentives for production
 - Efficient allocation of resources
 - Stable values (stable prices)
- Q.296** If X and Y are substitutes, then:
- Increase in price of X will decrease supply of Y
 - Decrease in price of X will increase supply of Y
 - Decrease in price of X will decrease demand for Y
 - Increase in price of X will decrease demand for Y
- Q.297** A firm's demand curve is decreasing because:
- A monopolistic competition firm has influence in a small area/segment
 - A monopolistic competition firm works below full capacity
- 1 is correct
 - 2 is correct
 - Both are correct
 - Both are incorrect
- Q.298** If a firm's cost curve is concave, it indicates:
- Increasing returns / economies of scale
 - Decreasing returns / diseconomies of scale
 - Law of variable proportions (diminishing returns in short run)
 - Fixed costs are zero
- Q.299** During the calculation of national income, which is NOT counted?
- Rent of your own house
 - Services of maid
 - Transfer payments
 - Interest on government bonds
- Q.300** If demand is perfectly inelastic and supply is perfectly elastic, then the effect of an indirect tax is:
- Entire burden falls on producers
 - Entire burden falls on consumers
 - Burden is shared equally
 - Quantity increases
- Q.301** Which of the following is incorrect about quantity demanded?
- Quantity demanded refers to the amount of a good demanded at a given price during a given time period
 - Quantity demanded is affected by price in the marketplace
 - Quantity demanded refers to total amounts of desirous goods in a given time period by people
 - Quantity demanded is a point on the demand curve
- Q.302** Statement I: Employees can know ethics and expected behaviour without a formal code of ethics.
Statement II: Providing ethics training and being endorsed by top management can reduce potential ethical consequences.
- Only I is correct
 - Only II is correct
 - Both are correct
 - Both are incorrect
- Q.303** A characteristic of monopoly market is:
- High entry barriers
 - Price taker
 - Homogeneous product with many sellers
 - Perfect information
- Q.304** Which of the following reduces the multiplier?
- Higher propensity to save
 - Lower marginal tax
 - Lower marginal imports
 - Higher propensity to spend on domestic goods



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- Q.305** Which of the following is NOT a characteristic of trough in a business cycle?
a) Lowest level of economic activity b) High unemployment
c) Low consumer confidence d) Rising inflation due to overheating
- Q.306** Which TWO of the following are true about direct tax?
a) It is uncertain in nature b) It is easily evaded
c) It is regressive in nature d) It is not convenient
- Q.307** What happens when prices rise and unemployment also rises?
a) Stagflation b) Stagnation
c) Inflation d) Deflation
- Q.308** Why does the central bank increase reserve ratio of commercial banks?
a) To increase money supply b) To reduce credit creation
c) To increase lending capacity of banks d) To increase inflation
- Q.309** Statement I: Dividends are payments to stockholders from excess cash available.
Statement II: Dividends can be in the form of cash or shares.
A. Only I is correct B. Only II is correct
C. Both are correct D. Both are incorrect
- Q.310** Which of the following leaves an organization exposed to reputation risk?
A. Director/senior manager indicted in a bribery-related case
B. Cashier caught on camera refusing service to a customer
C. Breach of customer data
D. Offering expensive products to departmental stores
- Q.311** A feature that is unique to a corporation (company) compared with a partnership is:
a) Mutual agency (each owner can bind the business)
b) Separate legal entity distinct from its owners
c) Unlimited liability of owners
d) Formation without legal formalities
- Q.312** In a sole proprietorship, personal assets of the owner are used to settle business debts mainly because liability is:
a) Limited to invested capital b) Shared among owners
c) Unlimited d) Transferred to creditors
- Q.313** Ali and Bilal agree to share profits 60:40. If nothing is written, the usual presumption in a partnership is that profits are shared:
a) 60:40 b) Equally
c) In proportion to capital introduced d) In proportion to time devoted
- Q.314** Which of the following BEST distinguishes a limited partner from a general partner?
a) Limited partner's liability is limited to capital contributed
b) Limited partner can bind the firm in contracts
c) Limited partner has unlimited liability
d) Limited partner must manage day-to-day operations
- Q.315** A business owned and operated by its members to provide goods/services at fair prices is known as a:
a) Franchise b) Holding company
c) Cooperative d) Public limited company
- Q.316** Marketing is the process of identifying customer needs and satisfying them profitably, whereas sales focuses on _____.
a) Producing goods only b) Persuading customers to buy the existing product
c) Controlling money supply d) Auditing financial statements

- Q.317** Which TWO are internal stakeholders?
- a) Company's secretary b) CEO
c) Shareholder d) Legal advisor
- Q.318** If a person wants to set up a public or private limited company, whose approval is required?
- a) FBR b) SECP
c) SCCP d) State Bank of Pakistan
- Q.319** Which of the following is MOST likely to be classified as an external stakeholder of a business?
- a) Employees b) Shareholders
c) Government regulators d) Board of directors
- Q.320** Which of the following is a function of the central bank?
- a) Accepting deposits from the general public b) Issuing currency
c) Providing consumer loans d) Running commercial banking operations
- Q.321** Name, slogans and titles are related to:
- a) Branding b) Advertising
c) Marketing d) Promotion
- Q.322** Which of the following is a marketing activity?
- a) Leading a team b) Analyzing wants and needs of customers
c) Maintaining financial records d) Auditing accounts
- Q.323** Statement I: Preference shareholders have voting rights and do not convert into ordinary shares.
Statement II: Preference shareholders receive dividends before tax deduction from profits.
- a) Both statements are true b) Both statements are false
c) Statement I is true and Statement II is false d) Statement I is false and Statement II is true
- Q.324** Statement I: System architecture is a system where PCs, storage devices and other components are connected and interact with each other.
Statement II: System architecture explains how different hardware and software components work together.
- a) Both statements are true b) Both statements are false
c) Statement I is true only d) Statement I is false only
- Q.325** Statement I: A company is formed by following the rules and regulations of SECP.
Statement II: SECP is responsible for regulating companies in Pakistan.
- a) Both statements are true b) Both statements are false
c) Statement I is true only d) Statement I is false only
- Q.326** Statement I: Public relations is included in the promotion element of the marketing mix.
Statement II: Promotion includes advertising, sales promotion, public relations and personal selling.
- a) Both statements are true b) Both statements are false
c) Statement I is true only d) Statement I is false only
- Q.327** Statement I: Recruitment is the process of attracting potential candidates to apply for a job.
Statement II: Recruitment involves selecting the best candidate from applicants.
- a) Both statements are true b) Both statements are false
c) Statement I is true only d) Statement I is false only
- Q.328** Sole proprietorship — select TWO disadvantages
- a) Unlimited liability b) Less skills / limited managerial expertise
c) Limited decision-making power d) Separation of ownership and control
- Q.329** Which of the following is an advantage of incorporation for owners?
- a) Unlimited liability b) Limited liability
c) No disclosure requirements d) No legal costs
- Q.330** If we increase output, which cost reduces continuously?
- a) Average fixed cost (AFC) b) Marginal cost (MC)
c) Average variable cost (AVC) d) Average total cost (ATC)



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- Q.331** Alpha gets a new assignment by falsifying the objective. Which ethical principle is breached?
- a) Integrity
 - b) Confidentiality
 - c) Professional behavior
 - d) Objectivity
- Q.332** Which is NOT an advantage of accounts payable?
- a) It increases maximum profit
 - b) Company can obtain goods/services without shortage of resources (short-term financing)
 - c) Usually no explicit interest is paid (trade credit)
 - d) It reduces need for immediate cash payment
- Q.333** Globalization of the product means:
- a) Make product in one country and sell them in other countries
 - b) Make and sell product only in own country
 - c) Producing only for local markets
 - d) Stopping international trade
- Q.334** PPF curve slopes downward from left to right because of:
- a) Zero opportunity cost
 - b) Trade-off
 - c) Unlimited resources
 - d) No scarcity
- Q.335** If price increases from 2 to 4, and quantity falls from 6 to 4 (typical ICAP pairing), the elasticity by midpoint method is:
- a) $2/3$
 - b) $1/3$
 - c) $3/5$
 - d) $5/3$
- Q.336** A prolonged recession is called:
- a) Depression
 - b) Expansion
 - c) Boom
 - d) Recovery
- Q.337** Contractionary fiscal policy — select TWO
- a) Reduce tax
 - b) Increase expenditure
 - c) Reduce expenditure
 - d) Increase tax
- Q.338** Natural unemployment includes:
- a) Cyclical unemployment
 - b) Structural unemployment
 - c) Frictional unemployment
 - d) Both 2 and 3
- Q.339** Which TWO of the following are quantitative measures of monetary policy?
- a) Open Market Operations (OMO)
 - b) Discount rate (bank rate)
 - c) Persuasion control (moral suasion)
 - d) Consumer awareness
- Q.340** What is an objective of fiscal policy?
- a) Low inflation
 - b) Low unemployment
 - c) Higher interest rates
 - d) Stable exchange rate only
- Q.341** If inflation rate decreases abroad, what is the likely effect on Pakistan?
- a) Pakistan's exports will fall
 - b) Pakistan's import prices are likely to rise
 - c) Pakistan's import prices are likely to fall
 - d) Pakistan's export prices are likely to rise
- Q.342** Which of the following does NOT cause a shift in the money demand (MD) curve?
- a) Interest rate
 - b) Increase in money supply
 - c) Real income (GDP)
 - d) Price level
- Q.343** Which of the following causes an increase in aggregate supply?
- a) Increase in labour productivity
 - b) Increase in consumer spending
 - c) Increase in cost of production
 - d) Increase in income tax
- Q.344** Alpha is promoted to a recently vacant position of sales manager in Beta Textile Mills. This is:
- a) Internal recruitment
 - b) External recruitment
 - c) Outsourcing
 - d) Retrenchment
- Q.345** Which of the following is a source of long-term finance?

- a) Line of credit
c) Trade credit

Q.346 AL's Disney Enterprise has two segments: "amusement parks & resorts" and "movies & film festival". Divisional structure is based on:
a) Product
c) Location

Q.347 Chain of command is best related to:
a) Organizational structure
c) Inventory management

Q.348 Total cost changes from 500 to 650; units from 20 to 30; fixed cost = 200. Which is correct?
a) Marginal cost is 15
c) Average variable cost increased by 5

Q.349 Which TWO are true about economic profit?
a) Accounting profit less implicit cost
c) Revenue minus explicit cost

Q.350 Which TWO relate most directly to branding outcomes?
a) Employee satisfaction
c) Government support

Q.351 If APS = 0.2 and income = 0.4 billion, what is consumption?
a) 0.98 billion
c) 2.25 billion

Q.352 Alpha's organization contains procurement, sales, finance, and marketing. What type of organization structure is this?
a) Functional structure
c) Matrix structure

Q.353 Accounts payable is considered a good source of finance. Which is NOT an advantage?
a) Helps in short-term financing
c) Improves liquidity position

Q.354 Price determination and national output is determined by:
a) Accounting system
c) Barter system

Q.355 Which is NOT a key element of IT / information system?
a) Data
c) Procedures

Q.356 A private limited company differs from a public limited company mainly because it:
a) Can issue shares to the general public freely
b) Cannot invite the public to subscribe for its shares
c) Must have unlimited members
d) Has no separate legal identity

Q.357 Government will reduce inflation by:
a) Increasing government spending
c) Increasing taxes and/or reducing government spending

Q.358 Vertical summation of individual curves will be:
a) Market demand curve
c) Supply curve

Q.359 An unbroken line of authority from top management to the lowest level is called the:
a) Span of control
c) Grapevine

Q.360 Mission statement – which TWO statements are TRUE?
a) It is a statement of the organization's purpose
b) It is a statement of the organization's goals
c) It is a statement of the organization's values
d) It is a statement of the organization's strategy

- a) Explains purpose / reason for existence (present)
 b) Identifies what the organization does and for whom
 c) Describes future desired position (long-term dream)
 d) Always contains detailed financial targets
- Q.361** General vs Limited partnership (oil drilling & real estate) – correct statement:
 a) Limited partners manage the business
 b) General partners have limited liability
 c) General partners have unlimited liability and manage business
 d) Limited partnership cannot exist legally
- Q.362** A not-for-profit org subsidized by government to provide clean water is an example of:
 a) Private limited company
 b) Public sector
 c) Multinational corporation
 d) General partnership
- Q.363** Concave shape of PPC curve is due to:
 a) Zero opportunity cost
 b) Unlimited resources
 c) Increasing opportunity cost
 d) Constant opportunity cost
- Q.364** Increase in production of mobile phones due to popularity among masses is example of:
 a) Decrease in demand
 b) Increase in demand
 c) Decrease in supply
 d) Movement along supply curve only
- Q.365** Which TWO are limitations of direct tax?
 a) Easily evaded
 b) Inconvenient (psychological burden)
 c) Always regressive
 d) Always uncertain
- Q.366** Which TWO are limitations of credit creation of commercial banks?
 a) Cash reserve ratio
 b) Public's preference to hold cash
 c) Increase in government expenditure
 d) Increase in exports
- Q.367** Which TWO are NOT core (fundamental) responsibilities of SBP?
 a) Issuance of currency
 b) Banker to government
 c) Providing consumer loans to public
 d) Selling insurance policies
- Q.368** Which is a long-term source of finance?
 a) Trade credit
 b) Discounting of bills
 c) Bank overdraft
 d) Bonds / debentures
- Q.369** Span of control tends to be WIDER when:
 a) Work is complex and non-routine
 b) Subordinates are highly dispersed geographically
 c) Procedures are clear and tasks are similar/routine
 d) The manager lacks supporting information systems
- Q.370** Senior management mainly takes:
 a) Operating decisions (routine)
 b) Strategic decisions (long-term)
 c) Clerical decisions
 d) Only programmed decisions
- Q.371** Marketing focuses on ____; Sales focuses on ____.
 a) Production; accounting
 b) Customer needs; persuading customers to buy
 c) Auditing; budgeting
 d) Financing; investing
- Q.372** Process of identifying suitable candidates and stimulating them to apply is:
 a) Selection
 b) Training
 c) Recruitment
 d) Induction
- Q.373** Which of the following is NOT on-the-job training?
 a) Apprenticeship
 b) Job rotation
 c) Coaching
 d) Vestibule training
- Q.374** If $APS = 0.25$ and income = 800 million, consumption is:



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- A) Process structure
C) Customer structure
- B) Product structure
D) Geographic structure
- Q.389** Grouping jobs into departments such as Finance, HR and Marketing is called:
a) Product departmentalization
c) Matrix structure
- b) Functional departmentalization
d) Network structure
- Q.390** Globalization is facilitated by:
A) Design in one country, manufacturing in another, selling globally
B) All processes in same country only
C) Trade ban
D) Autarky
- Q.391** Span of control depends on nature of work—how:
A) Routine it is
C) Both A and B
- B) Technical/complex it is
D) Neither
- Q.392** Long-term finance is:
A) Bond
C) Credit card
- B) Line of credit (LC)
D) Trade credit
- Q.393** Expansionary fiscal policy:
A) Reduce tax, increase govt expenditure
C) Reduce both
- B) Increase tax, reduce govt expenditure
D) Increase both
- Q.394** i) Dividends are paid from company's excess cash
ii) Dividends can be paid in cash or stock
A) i only
C) both
- B) ii only
D) none
- Q.395** Main earnings of commercial banks are from:
A) Paying lower interest on deposits and charging higher on loans (interest spread)
B) Highly speculative investments
C) Selling shares to public
D) Printing currency
- Q.396** Which of the following is NOT a use of information system?
A) Performance measurement
C) Allocation of resources
- B) Controlling
D) Weather forecasting for public
- Q.397** Ethics:
i) Situation where we choose between right and wrong
ii) Boss's nice attitude towards employees is depiction of ethics
A) i only
C) both
- B) ii only
D) none
- Q.398** Marketing mix:
i) Late delivery of goods can be classified in "Place"
ii) Public relations can be classified in "Promotion"
A) i only
C) both
- B) ii only
D) none
- Q.399** ___ is attracting candidates and stimulating applications:
A) Recruitment
C) Induction
- B) Selection
D) Training
- Q.400** If price floor is set below equilibrium price, it causes:
A) Shortage
C) No effect (non-binding)
- B) Surplus
D) Right shift in demand curve
- Q.401** NOT a determinant of consumption:



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- A) GDP relative to other countries
C) Interest rates
- Q.402** AVC is U-shaped because:
A) Law of diminishing marginal returns
C) Unlimited resources
- Q.403** Revenue is earned when:
A) Goods/services are sold
C) Expenses are paid
- Q.404** According to the Islamic economic system, each financial transaction must be:
a) Speculative in nature
c) Interest based
- Q.405** A _____ is a system that combines computer parts such as PCs, printers, etc., and allows them to communicate and transfer data.
a) Network
c) Database
- Q.406** Operation of an international company in a country with a favorable tax system shows that strategic decisions are affected by legal considerations."
a) True
b) False
- Q.407** A cooperative is an organization that is:
a) Owned and controlled by government
b) Owned by one person with unlimited liability
c) Owned and controlled by members for mutual benefit
d) Formed only to maximize profit for investors
- Q.408** Which statement best differentiates tall and flat organizations?
a) Tall has fewer management levels; flat has more levels
b) Tall has many hierarchical levels; flat has fewer levels
c) Tall has wide span of control; flat has narrow span
d) Flat increases chain of command; tall reduces it
- Q.409** Which of the following is NOT an element of the marketing mix?
a) Product
c) Place
- Q.410** A retired person who is not looking for work is classified as:
a) Employed
c) Underemployed
- Q.411** Which TWO are disadvantages/limitations of direct tax?
a) Easily evaded
c) Automatically adjusted
- Q.412** Which management function is concerned with setting objectives and choosing actions to achieve them?
a) Planning
c) Controlling
- Q.413** Statement I: A general partnership cannot be formed by verbal agreement.
Statement II: A general partnership is an unlimited liability partnership and can be sued by the firm.
a) Both statements are true
c) Statement I is true, Statement II is false
- Q.414** Corporate Social Responsibility (CSR) mainly refers to:
a) Maximization of shareholder wealth only
c) Ethical behavior towards society,
- B) Fiscal policy
D) Real income
- B) Law of increasing marginal returns only
D) Perfect competition
- B) Goods are produced only
D) Raw materials are purchased
- b) Based on real economic activity / asset-backed
d) Uncertain and risky
- b) Server
d) Operating system
- b) Price
d) Profit
- b) Unemployed
d) Not in labour force
- b) Inconvenient
d) Leads to duplication of resources
- b) Leading
d) Staffing
- b) Both statements are false
d) Statement I is false, Statement II is true
- b) Compliance with tax laws only
d) Reducing production cost
- Q.415** Batch processing is best described as:



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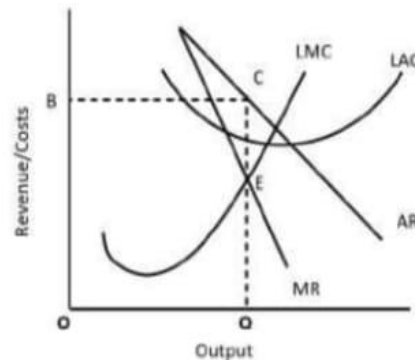
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- a) Processing data immediately as it is generated
b) Processing transactions one by one
c) Collecting data and processing it together at a later time
d) Processing data without human intervention
- Q.416** Real-time processing means:
a) Data is processed at the end of the day
b) Data is processed weekly
c) Data is processed immediately when input is received
d) Data is processed manually
- Q.417** Development training focuses on:
a) Improving current job performance
b) Preparing employees for future roles and responsibilities
c) Reducing labour cost
d) Teaching routine tasks only
- Q.418** Which of the following is an objective of an organization?
a) To become the best company in the industry
b) To grow globally in the long run
c) To increase sales by 10% within one year
d) To improve corporate image
- Q.419** A non-government organization (NGO) is best described as:
a) A profit-maximizing firm
b) A government-owned body
c) An organization formed to serve social welfare objectives
d) A public limited company
- Q.420** The process of assigning responsibility and authority to subordinates is called:
a) Coordination
b) Delegation
c) Centralization
d) Departmentalization
- Q.421** A commercial bank's desired reserve ratio > actual reserve ratio. The bank will:
a) Increase lending / credit creation
b) Decrease lending to raise reserves
c) Decrease reserve holdings further
d) Increase money multiplier
- Q.422** Which is NOT a use of an information system?
a) Performance measurement
b) Controlling operations
c) Resource allocation
d) Eliminating competition completely
- Q.423** Core values of a company are...
a) Short-term sales targets
b) Fundamental beliefs
c) Company's future position
d) Company's monthly budgets
- Q.424** To counter inflation, government should adopt:
a) Expansionary fiscal policy
b) Contractionary fiscal policy
c) Increase money supply
d) Reduce tax and increase expenditure
- Q.425** By imposing a tariff, government...
a) Assures reduction in imports (always)
b) It is a monetary measure
c) Increases revenue and may reduce imports
d) Has no effect on domestic prices
- Q.426** Unemployment caused by trough / depression is:
A) Seasonal
B) Frictional
C) Cyclical
D) Structural
- Q.427** i) Batch processing system is appropriate for online transactions and airline reservations
ii) Batch processing system is appropriate for monthly payroll
A) i only
B) ii only
C) both i and ii
D) none
- Q.428** Trade credit arises when a business:
a) Sells goods for cash only
b) Buys goods/services now and pays the supplier later
c) Obtains a long-term bank loan
d) Issues shares to suppliers
- Q.429** Sales tax by nature is:

- A) Progressive
C) Equal

- B) Regressive
D) Proportional

Q.430



The above diagram (downward sloping AR with a separate MR curve, and equilibrium at E where $LMC = MR$) most appropriately depicts a firm operating under:

- A. Perfect competition
C. Oligopoly (kinked demand)
B. Monopoly
D. Perfectly contestable market

Q.431 Alpha company has sales, promotions/advertisement, finance and HR manager. Alpha company must have organization structure:

- A) Functional
C) Matrix
B) Divisional
D) Structural

Q.432 Statement 1: In sole proprietorship have greater secrecy
Statement 2: Preferential shareholder have greater rights over equity shareholders
Which option is correct?

- A) Both
C) Only 2
B) Only 1
D) None

Q.433 _____ is a systematic approach of identifying and satisfying consumers' needs.

- A) Accounting
C) Branding
B) Selling
D) Marketing

Q.434 (i) Limited partnership have at least one unlimited partner.
(ii) In general partnership it is assumed that each has unlimited (liability).

- A) One statement correct
C) None of these
B) Only (ii) correct
D) Both are correct

Q.435 Which of the following is NOT a source of short-term finance?

- A) Factoring
C) Trade creditor
B) Operating lease
D) Bonds

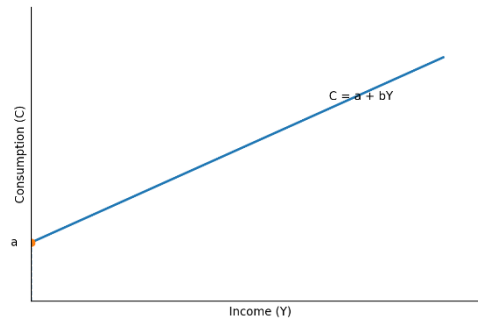
Q.436 ABC company has Film entertainment and Park and resort department. The division according to its department is:

- A) Product
C) Customer
B) Price
D) Process

Q.437 If a group of people come together by pulling in their own money for a **non-profit** organisation to distribute rations to poor people, it is known as:

- A) Cooperative
C) Public limited company
B) Non-government organisation (NGO)
D) Trade union

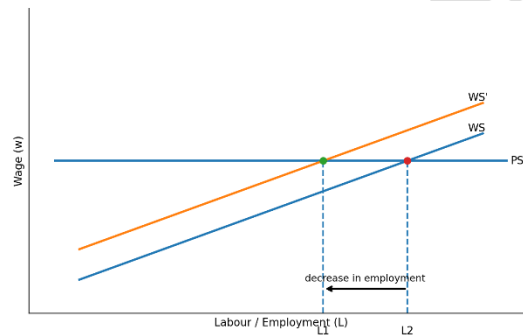
Q.438



In the consumption function diagram, the y-intercept "a" in $C = a + bY$ represents:**

- A) Autonomous consumption
- B) Induced consumption
- C) Total consumption
- D) Savings

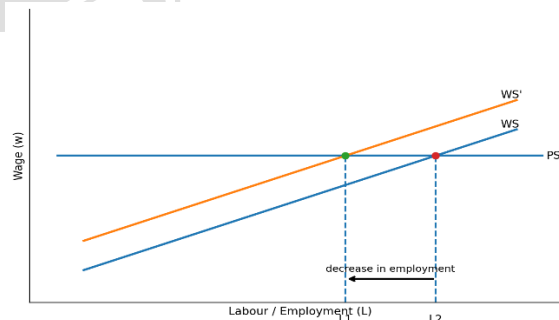
Q.439



The shift that changes equilibrium employment from L2 to L1 at the same wage level most likely indicates:

- A) Increase in natural/structural unemployment (equilibrium employment falls)
- B) Decrease in natural/structural unemployment (equilibrium employment rises)
- C) Cyclical unemployment due to demand shock only
- D) Seasonal unemployment due to weather patterns

Q.440



The horizontal line in the diagram most appropriately represents:

- A) Labour supply curve
- B) Labour demand curve
- C) Price-setting (PS) line
- D) Marginal product of labour curve

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Q.	Ans.	Q.	Ans.	Q.	Ans.	Q.	Ans.	Q.	Ans.	Q.	Ans.	Q.	Ans.	Q.	Ans.	Q.	Ans.
1	D	30	B	59	B	88	C	117	D	146	A	175	C	204	B	233	C
2	A	31	C	60	D	89	C	118	B	147	B	176	C	205	B	234	C
3	C	32	C	61	C	90	C,D	119	B	148	D	177	C	206	B	235	A
4	A	33	C	62	B	91	C	120	A	149	C	178	C	207	B	236	A
5	B	34	C	63	A	92	B	121	B	150	A,C	179	C	208	B	237	B
6	B	35	C	64	C	93	A	122	A	151	B	180	A	209	C	238	A
7	A	36	D	65	C	94	B	123	C	152	C	181	C	210	A	239	A
8	A	37	D	66	D	95	C	124	A	153	C	182	B	211	C	240	A
9	C	38	A	67	B	96	B	125	B	154	C	183	B	212	B	241	A
10	A	39	B	68	B	97	B	126	B	155	C	184	D	213	B	242	A
11	D	40	D	69	C	98	All	127	A	156	B	185	A	214	B	243	A
12	B	41	A	70	B	99	B	128	A	157	C	186	B	215	B	244	A
13	D	42	B	71	D	100	D	129	A	158	D	187	B	216	B	245	A
14	C	43	A	72	B	101	C	130	C	159	B	188	C	217	B	246	A
15	B	44	B	73	C	102	B	131	B	160	B	189	B	218	B	247	A
16	D	45	D	74	B	103	A	132	A	161	B	190	A	219	A	248	A
17	D	46	B,C	75	B	104	D	133	D	162	C	191	C	220	A	249	A
18	B	47	A	76	B	105	A	134	D	163	C	192	D	221	B	250	A
19	C	48	A	77	A,B	106	B	135	A	164	C	193	A	222	B	251	A
20	B	49	A	78	B	107	A	136	A	165	C	194	C	223	A	252	B
21	D	50	A	79	D	108	A	137	A	166	B	195	C	224	C	253	A
22	C	51	C	80	C	109	C	138	A	167	C	196	B	225	B	254	A
23	D	52	B	81	A	110	A	139	C	168	C	197	B	226	C	255	A
24	A	53	C	82	B, C	111	C,D	140	A	169	C	198	B	227	A	256	A
25	B	54	A,D	83	D	112	A	141	C	170	C	199	B	228	B	257	A
26	A	55	A	84	B	113	B	142	C	171	A	200	C	229	A	258	A
27	D	56	B	85	B	114	D	143	A,B	172	C	201	B	230	A	259	A
28	C	57	B	86	A	115	D	144	C	173	C	202	C	231	B	260	A
29	B	58	D	87	A,C	116	C	145	B,C	174	C	203	B	232	B	261	A

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262	A	281	B	300	B	319	C	338	B,C	357	C	376	A	395	A	414	C
263	B	282	A,C	301	C	320	B	339	A,B	358	A	377	A,B	396	D	415	C
264	D	283	B	302	C	321	A	340	B	359	B	378	A	397	C	416	C
265	C	284	A	303	A	322	B	341	C	360	A,B	379	A	398	C	417	B
266	C	285	A	304	A	323	B	342	A	361	C	380	A	399	A	418	C
267	B	286	D	305	D	324	A	343	A	362	B	381	C	400	C	419	C
268	B	287	B	306	B,D	325	A	344	A	363	C	382	A	401	A	420	B
269	B	288	A	307	A	326	A	345	B	364	B	383	C	402	A	421	B
270	B	289	B	308	B	327	C	346	A	365	A,B	384	A	403	A	422	D
271	B	290	B	309	B	328	A,B	347	A	366	A,B	385	A	404	B	423	B
272	D	291	B	310	A	329	B	348	A	367	C,D	386	A,B	405	A	424	B
273	B	292	A	311	B	330	A	349	A,B	368	D	387	D	406	A	425	C
274	C	293	C,D	312	C	331	A	350	A,B	369	C	388	A	407	C	426	C
275	A,B	294	A	313	B	332	A	351	D	370	B	389	B	408	B	427	B
276	B	295	A	314	A	333	A	352	A	371	B	390	A	409	D	428	B
277	A	296	C	315	C	334	B	353	D	372	C	391	C	410	D	429	B
278	A,C	297	A	316	B	335	C	354	B	373	D	392	A	411	A,B	430	B
279	A	298	A	317	A,B	336	A	355	D	374	D	393	A	412	A	431	A
280	D	299	C	318	B	337	C,D	356	B	375	A	394	B	413	D	432	B
433	D	434	D	435	D	436	A	437	B	438	A	439	C	440	C		



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